The application of policy instruments	**Fiscal policy**	• explain what is meant by the government budget • identify the main sources of tax revenue and government expenditure in the UK economy • distinguish between current and capital government expenditure • distinguish between progressive, proportional and regressive taxation • distinguish between direct and indirect taxation • explain the features of a ‘good’ tax • evaluate the advantages and disadvantages of a flat rate tax system • explain what is meant by the budget position/fiscal stance • distinguish between a budget surplus, a budget deficit and a balanced budget • distinguish between the cyclical budget position and the structural budget position • distinguish between an overall budget position and the budget position on current expenditure • distinguish between a budget deficit and government debt • explain how budget deficits can be financed • evaluate policies to correct a budget surplus or deficit • evaluate the consequences of government debt • explain how discretionary fiscal policy may be used to improve macroeconomic performance • evaluate the effectiveness of using fiscal policy to achieve the government’s macroeconomic objectives • explain how fiscal rules can influence the behaviour or economic agents • evaluate the effectiveness of fiscal rules.
	Monetary policy	• explain what is meant by monetary policy instruments/measures, such as interest rates, money supply and exchange rates can be used to influence macroeconomic variables • explain how monetary policy instruments/measures affect the macroeconomic performance • explain what is meant by inflation targeting • explain how inflation targeting may affect the behaviour of economic agents • explain how a central bank works to achieve its aims • evaluate the effectiveness of using monetary policy to achieve the government’s macroeconomic objectives.

Area of Study	Topic	Learners should be able to:

The application of policy instruments	**Supply side policy**	• explain policies which are used to increase the quality or quantity of factors of production, including:
		  ○ education and training
		  ○ reforming tax and benefits
		  ○ reducing marginal tax rates
		  ○ National Minimum Wage legislation and promoting a ‘living wage’
		  ○ improving labour market flexibility – including consideration of the housing market
		  ○ immigration
		  ○ privatisation
		  ○ deregulation
		  ○ trade union reform
		  ○ infrastructure investment – including consideration of transport market
		  ○ research and development incentives
		  ○ subsidies
		• evaluate the effectiveness of using supply side policy measures to achieve the government’s macroeconomic objectives.

	Policy conflicts	• explain the possible trade-offs which exist between policy objectives, such as:
		  ○ unemployment and inflation
		  ○ growth and inflation
		  ○ inflation and the balance of payments
		  ○ growth and the balance of payments
		  ○ growth and income and wealth equality
		• evaluate the consequences of conflicts between policy objectives
		  ○ evaluate the methods through which policy conflicts can be resolved or reduced.